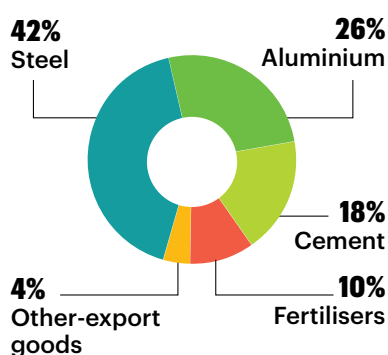


THE CBAM IMPACT

- CBAM-driven costs are expected to impact sectors unevenly
- Greater impact on energy and carbon-intensive industries

CBAM COST IMPACT ON EACH SECTOR (%)



SOURCE EY REPORT

that runs our ACs, our factories, and our data centres,” he says.

India proposes to set up an additional 100 GW coal-based capacity by 2031-32. Adani Power, Torrent Power, JSW Energy, and the state-owned NTPC have planned investments of over ₹5.5 lakh crore.

TRANSITION JOURNEY

Syngas, complemented with the carbon capture technology, is being projected as a possible transition fuel for the hard-to-abate sectors. Though some players are working on CCUS technology in India, none have been successful commercially yet.

JSW Steel has implemented CCUS technology at JSW Salav Works in Maharashtra for producing low-grade emission steel from

natural gas and DRI, and renewable energy, eyeing exports.

It is also a part of an industrial consortium looking to set up CCUS hubs in Asia. “As one of India’s leading steel producers, JSW Steel is taking a leadership role in advancing CCUS as a critical enabler for hard-to-abate sectors, alongside renewable energy, efficiency and process innovation,” says Prabodha Acharya, Chief Sustainability Officer of JSW Group.

The energy transition is accelerating as a strategic risk hedge rather than a pure economic choice for Indian corporates.

M&M runs more than 50 resorts that have large-scale commercial kitchens. Yet it faced only limited disruption from the LPG crunch triggered by the blockade of the Strait of Hormuz.

Ankit Todi, Chief Sustainability Officer of M&M Group, says the current energy crisis has provided strong validation of the company’s green energy transition strategy across group companies.

“For example, at Mahindra Holidays, we have been able to eliminate fossil fuel use completely in about 20. They ran entirely on electricity-based systems for cooking, including for complex operations such as tandoors,” says Todi.

The company is now looking to scale similar measures across the entire ecosystem.

“There are many industrial processes that require temperatures below 400°C and can be largely electrified in a financially viable manner. Once you have an electric-based process, you can further optimise the cost by shifting to renewable power. Embracing industrial electrification is essential for building energy resilience,” he explains.

Indeed, if there is one major lesson from the current crisis, it is that for developing countries like India, balancing energy security, industrial competitiveness and climate goals requires pragmatic transition pathways rather than binary choices. “The climate compatibility of coal gasification will depend on the efficiency of technology, adaptation to Indian coal characteristics, deployment of carbon management solutions and supporting policy and innovation ecosystems,” says Vibha Dhawan, Director General of the non-profit The Energy and Resources Institute (TERI).

Coal gasification is likely to be viewed more as an energy security and industrial resilience strategy rather than a substitute for the expansion of renewable energy.

“In the near to medium term, there will be greater policy focus on earmarking coal for gasification and coal-to-chemicals projects. Over time, this could lead to greater diversification in coal consumption patterns, with a large share being directed towards chemicals, synthetic fuels and industrial feedstocks alongside conventional power generation,” says Pritish Raj, coal pricing analyst, S&P Global Energy.

Experts are unanimous in their view that coal gasification should not be viewed as a replacement for solar or wind, or long-term decarbonisation. Industries must continue building non-fossil power capacity.

TRADE RESTRICTIONS

As India scrambles to meet the immediate impact of the West Asia war, there is another external challenge it must confront. Increasingly, global trading partners are mandating that exporters cut their emissions by